

100-fold over the decade. Graham's net current asset value strategy yields some extraordinary bargains, and this is the source of its extraordinary returns.

Graham's instinct about the margin of safety turns out to be correct. The greater the discount from net current asset value, the greater the return. Oppenheimer examined this by calculating for each stock its purchase price as a proportion of its net current asset value, and then dividing the population into five portfolios, from the smallest margin of safety to the widest. Oppenheimer's conclusion was clear cut: The portfolios of stocks with the widest margin of safety—or, in other words, the most undervalued—outperformed the next portfolio and so on until the portfolio with the smallest margin of safety delivered the lowest returns. Oppenheimer found that the size of the margin of safety, and therefore the degree of undervaluation, was an important consideration—the most undervalued net nets delivered more than 10 percent a year in additional return over the least undervalued net nets. We replicated Oppenheimer's method, and found essentially the same results, with one caveat that is as significant as it is perplexing. Our findings generally supported Oppenheimer's conclusion—the returns are higher for firms with higher discounts to net current asset value—however, the stocks in the portfolio with the deepest discount from net current asset value had the lowest returns. It's possible that the result is an outlier, and it's worth bearing in mind, but it doesn't change the finding that there is a positive relationship between the size of the discount and returns.

Graham recommended that the “discerning analyst” tend toward those net current asset value stocks likely to attract the attention of an activist or with other attractive statistical features, like current earnings and dividends. Here, Oppenheimer's findings contradict Graham's advice. Graham's ordinarily prescient intuition about the earnings and dividends seems to be wrong, perhaps because this finding is so counterintuitive. Oppenheimer tested Graham's suggestion by dividing the net current asset value stocks into two portfolios—one containing only stocks that had been profitable over the preceding year, and another containing only stocks that had been operating at a loss. He found that the portfolio containing stocks operating at a loss tended to *outperform* the portfolio of profitable stocks. He also found that profitable, dividend-paying stocks generated a lower return than profitable stocks that did not pay a dividend. These findings led Oppenheimer to conclude that choosing only profitable stocks or profitable dividend-paying stocks would lead to lower returns. Our results supported Oppenheimer's conclusion. Profitable net-net stocks significantly underperformed the loss-makers, and profitable dividend payers significantly underperformed the profitable stocks that did not pay dividends.

Graham observed that “[t]he objection to buying these issues lies in the probability, or at least the possibility, that earnings will decline or